

DISPENSA DIDATTICA

GLOBAL FACTORS

MATERIA E DOCENTE:

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1. Introduzione all'argomento

In this module, we will study the global factors that have an impact on the economy as a whole.

Business cannot be studied without considering its relationship with the reality and the **surrounding global context**.

Over the 21° century, the world has changed at an extremely **quick pace**.

There are **five external factors** that influence the framework in which business is conducted.

2. Analisi e contestualizzazione

1. Globalisation
2. Technological advancement
3. Diversity and inclusion
4. World instability
5. Environmental concerns

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1: Globalisation

1.1 Definition

1.2 Key factors

1.3 Good or bad?

1.1 DEFINITION

Globalisation can be defined as the **increasing level of integration of the world** we live in.

Globalisation is visible in the fact that we are involved in the lives of people in other countries, or that products and services are traded and exchanged all over the world.

In business terms, globalisation has to do with the **increasing interdependence of world economies**. The most visible effects of this phenomenon are:

- **Free movement of capital**, goods and services between countries;
- Development of **international trade**;
- Rise in the number of **multinational corporations**.

1.2 KEY FACTORS

Transportation

- Larger ships and speed of transport
- Economies of scale (cost per item lower for large quantities)

1: Globalisation

Improvements in communication

- Internet and mobile communication
- Social media platforms

Labour availability and skills in LDCs

- Less regulation and lower labour costs
- Higher skill levels

Free trade

- Promoted by international organisations (WTO)

1.3 GOOD OR BAD?

Globalisation as a phenomenon **sparks controversies**:

Supporting positions state that it fosters the economic development of poorer countries and raises living standards, thus leading to more equality in economic, social and cultural terms.

Opponents argue that globalisation:

- Increases inequality between rich and poor countries on a global level;
- Benefits the countries that are already rich and powerful, to the detriment of developing countries and LDCs (Least Developed Countries);
- Goes against the interests of local businesses, which cannot compete with large multinationals.

2: Technological advacement

2.1 Technological advancement

2.2 Industry 4.0 technologies

2.1 TECHNOLOGICAL ADVANCEMENT

Technological advancement and innovations have a deep impact on business development because, while new products are gradually introduced on the market, also better and faster ways of producing and delivering goods are developed.

With references to industrial production, we are currently experiencing the Fourth Industrial Revolution, also known as **Industry 4.0**. The main features of Industry 4.0 are:

- **Automation and inter-connectivity**.
- **AI** (Artificial Intelligence), allowing smart machine to connect with one another and make decisions without human intervention.
- **Smart factories**, e.g. plants that are more efficient and productive, and less wasteful.
- Employment of more skilled workers in **highly specialised jobs**.

2.2 INDUSTRY 4.0 TECHNOLOGIES

- **Internet of Things (IoT):** A key element of smart factories is that machines have sensors allowing them to connect and exchange data with other devices.
- **Digital Twin**: Virtual replicas of processes, lines of production and supply chains used to increase productivity, test changes and improve workflows.

2: Technological advacement

- **AI and Machine Learning (ML):** AI allows machine to perform tasks independently of human intervention in real-word environment. ML refers to technologies allowing machines to identify patterns, make decisions and improve themselves.
- **Edge computing**: Local processing of data on the user's own device, which reduces security risks.
- **Cloud computing**: Delivery of services (storage, databases, networking, software, analytics) over the internet, i.e. the cloud.

3: Diversity and inclusion

In recent years, society has radically changed due to globalisation, technological development and migration. Nowadays, **different cultures, races and identities coexist side by side** and this fostered a change in the general attitude towards diversity.

In many countries people are more tolerant than in the past towards diversity and believe that people should have **equal access to opportunities**, regardless of their conditions (gender, age, ethnicity, religion, sexual orientation, mental and physical ability).

This change in mentality has an impact on business, as well. The majority of young people looking for a job (GenZ) believe that the company's' commitment towards diversity and inclusion is an important factor when looking for a job.

To attract and retain young talents, business need to **rethink their recruitment policies and the way they include and value everyone's contribution** in the professional domain.

4: World instability

4.1 World Instability

4.2 Covid-19

4.1 World Instability

A wave of instability on a global level has been going since 2019. This trend was enhanced by a series of **unexpected disruptions**: a global pandemic, political conflicts, outbursts of new conflicts all over the world.

In particular, the **pandemic** with its lockdowns and travel restrictions had a disruptive effects on the global economy. In fact, many factories had to close its plants for some time, there were shortages in labour, logistical bottlenecks, problems and delays in the provision of raw materials and in the delivery of finished goods.

Another factor of instability particularly strong in Europe was **Brexit** (i.e. the withdrawal of the United Kingdom from the European Union). It complicated the global business environment and led to further challenges in terms of regulatory changes, customs complexities and trade uncertainties.

Besides geopolitical tensions, the **war in Ukraine** led to an uncertain economic environment and negatively impacted on trade relations and investor confidence. The most visible effect on the countries not directly involved in the conflict was the **inflationary pressure** and its immediate consequences: an increase in transportation costs, imbalances in supply-demand, higher prices of raw materials, and so on. In order to remain competitive, most businesses had to manage pricing strategies and absorb additional costs.

Companies, regardless of their dimension and their internal organisation, have to adapt to **the current instability**. Many changes that seemed temporary are likely to become the norm: e.g., virtual meetings instead of in-person ones, reduction in travel costs, increased digitalisation of the working environment, remote work, and so on.

4: World instability

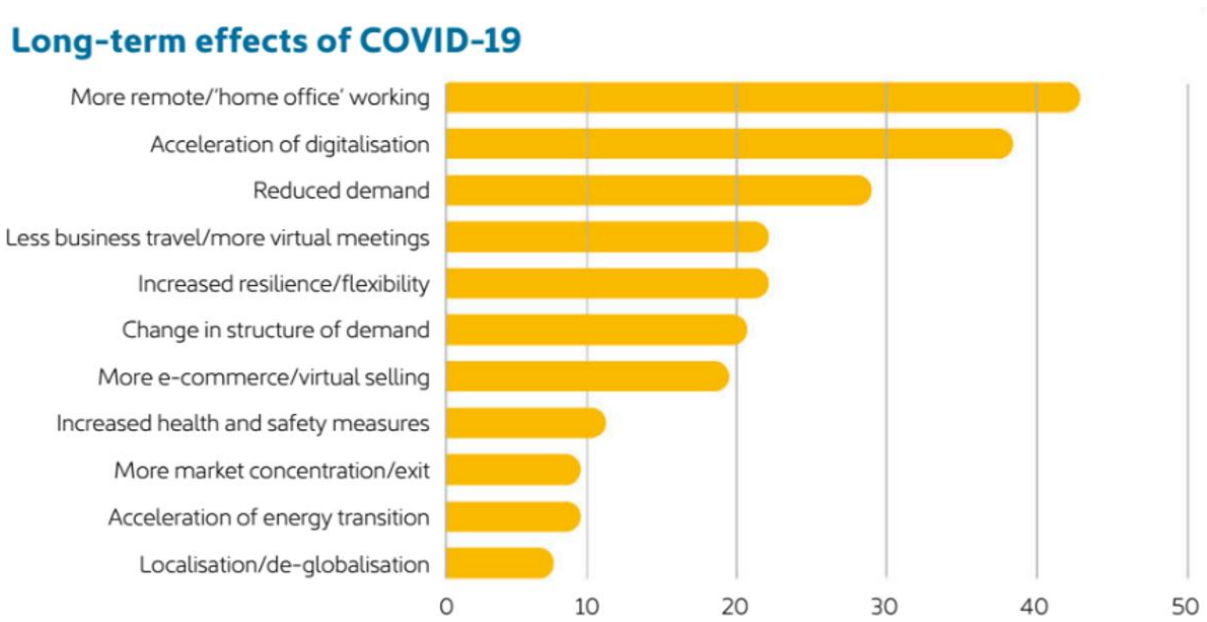
4.2 Covid-19

With the end of the global pandemic of Covid-19 in 2022, many countries finally abandoned lockdowns, travel restrictions and other measures that had been imposed in 2020.

The European Central Bank carried out a survey among over 70 companies to study the most common **long-term effects** of the pandemic on business.

The survey showed that the pandemic **transformed both the way in which businesses operate and the general behaviour of customers**.

Covid-19 radically changed the way in which we work and the value we attribute to work as part of our life, and il will probably continue to do so even in the future.



5: Environmental concerns

Climate change is another vital factor impacting the current way of doing business. According to recent studies, 97% of organisations have already been negatively influenced by climate change, and the majority of CEOs are worried about the effects that the main environmental challenges could have in the future on their economic sector. Climate change influences business in 6 ways:

1. **Increased risk**: Climate change increases the likelihood of extreme weather events (floods, drought…), which can damage businesses.
2. **Change in regulations:** Rules preventing pollution means that companies producing high levels of CO2 emissions must invest in upgrading their facilities.
3. **Increase in public pressure:** Most customers prefer buying products and services sustainably produced by companies active in reducing their environmental impact.
4. **Changes in the availability of resources**: Global warming causes a decrease in the availability of certain resources (e.g. a drought may cause a shortage of some crops). If resources are scarce, their price tends to increase.
5. **Changing demand:** As the climate changes on a global level, also the demand for certain goods, services and facilities will change.
6. **More difficult working conditions**: With the change in weather patterns, also working conditions in some sectors tend to worsen (i.e. working outdoors in extremely hot weather).